

# Chat-to-trade is not a risk desk.

- A language model that can call `buy(symbol, qty)` is a broker with no size, no ledger, and no halt.
- The failure mode is not a bad SMA. It is an unconstrained order.
- Veto exists so the model can research without being allowed to fill.

# The model may research. Veto decides.

- Frozen rules size every order. The LLM inspects, explains, and previews.
- It cannot authorize a fill. Paper endpoint only.

# Desk in the middle. Broker at the edge.

- Closed daily bars → fresh SMA 10/30, ranked by cross strength → check\_entry.
- Stock: gap-capped buy + 1-lot collar. Crypto: gap-capped buy + 8% poll stop.
- Reconcile fills/fees. Halt on unknown order, qty mismatch, or 5% drawdown.
- Baseline is the only arm that talks to Alpaca. Shadows cannot order.

# Do not fake a cross. HOLD is allowed.

- Today's scan is HOLD. Typical row: NVDA HOLD none no\_fresh\_cross.
- A reject, when a cross exists, looks like correlation\_cap:2 or run\_halted.
- veto explain NVDA and MCP explain\_decision read that ledger reason.

# Defined-risk overlay. Preview is not a fill.

- 1 long ~8% OTM put + 1 short ~8% OTM call, ~35 DTE, max debit \$1,500, one name.
- veto preview-collar AAPL prints the Alpaca CLI string. SDK places overlays.
- If a collar put is live, veto stops skips the poll flatten. Else crypto (and skipped collars) poll 8%.

# No unconstrained buy tool.

- Read: `get_account`, `get_positions`, `get_halt_status`, `latest_decisions`, `explain_decision`, `preview_collar`.
- Dry-run default: `scan_now`, `execute_pending`. Live still goes through `check_entry`.
- Halt reasons are real: `reconciliation_failed` or `drawdown_halt` — not a placeholder.

## **+5.4% vs +59%. That is the prior lab.**

- Frozen SMA 10/30, \$100k, 2022–2026 Alpaca replay: +5.4% account vs +59% 25/25/50 benchmark.
- Win rate 29%. 47% of exits were 8% pull stops. A 5% invested book cannot look like NVDA.
- Veto does not pitch that tape as an edge. See docs/prior-research.md.

# A desk that knows how to refuse.

- Public repo, \$100k paper, options overlay, MCP that cannot order, demo with no buy button.
- Reconcile can halt. Stops poll. Drawdown 5% stops new buys. Exits stay on.
- Paper trading is simulated. Not live performance. [github.com/dancaldera/veto](https://github.com/dancaldera/veto)